HA/Bachelor course Entrepreneurship and Innovation

Lecture: Diversity of entrepreneurship – e.g. students-, etnic minority, and social entrepreneurship. Promoting entrepreneurship

March, Jesper Lindgaard Christensen

Innovation and entrepreneurship - Agenda

- **Motivation: Why and who cares about the diversity in entrepreneurs and entrepreneurial firms**
- **Types of entrepreneurship such as - Student entrepreneurship, Green entrepreneurs, Etnic Minority Entrepreneurship, (especially) Social Entrepreneurship, 'everyday' entr.**
- **An example: visit from an entrepreneur.**
- **How to stimulate Entrepreneurship**
- **Exercises related to finance/creativity and issues that were covered in this lecture: At moodle, and last part of these slides.**

Motivations - Why care about things like social entrepreneurship?!

- **1. Firms care!**

- **CSR, SRI, employ people with special needs,,,**
- **Branding**
- **Increased consumer awareness**
- **‘CSR-manager’, ‘ESG-manager’, ‘ESG-team’, ‘CSR-department’, ‘Greenwashing’/’Greenbushing’,,**
- **CSRD and other legislative push**

2. Researchers Care!

Top 10 Interesting Topics in Entrepreneurship Studies.
Answers from 915 entrepreneurship Scholars. Rank:

Nominate the most interesting topic in contemporary entrepreneurship studies	Keywords for why you regard this topic as interesting
1 **Social entrepreneurship**	**impactful/social importance/matters to many; new domain/timely; practical; people-oriented**
2 Opportunities (generation/identification etc.)	core of the field/defines the field; debated/paradigmatic controversial; intellectually challenging
3 Entrepreneurial learning and education	applicative/relevant; link to education; promising for society; generative/progressiv
4 Gender issues	societal potential; empowerment; inclusive/equality; novel
5 Institutions and policy issues	policy relevant, societal impact/growth; context and culture; combines macro micro

Source: "That's Interesting! in Entrepreneurship Research" by Hans Landström and Gouya Harirchi, Journal of Small Business Management, 2018.

'Journal of Social Entrepreneurship' = a dedicated journal

3. Students care!

- Growing interest in societal objectives in studies/-projects.
- Universities announce compliance with SDGs and introduce sustainability policies, programs, missions etc.
- Climate and environment concerns among students as reflected in the choices of studies and in content of studies
- Job market: growing attitude that work must be responsible and provide meaning – not just a pay roll (FremKom 4 survey, june, 2022)

– and 4. governments care

White Paper on Citizen Science for Europe of The Commission (Sanz et al., 2014)

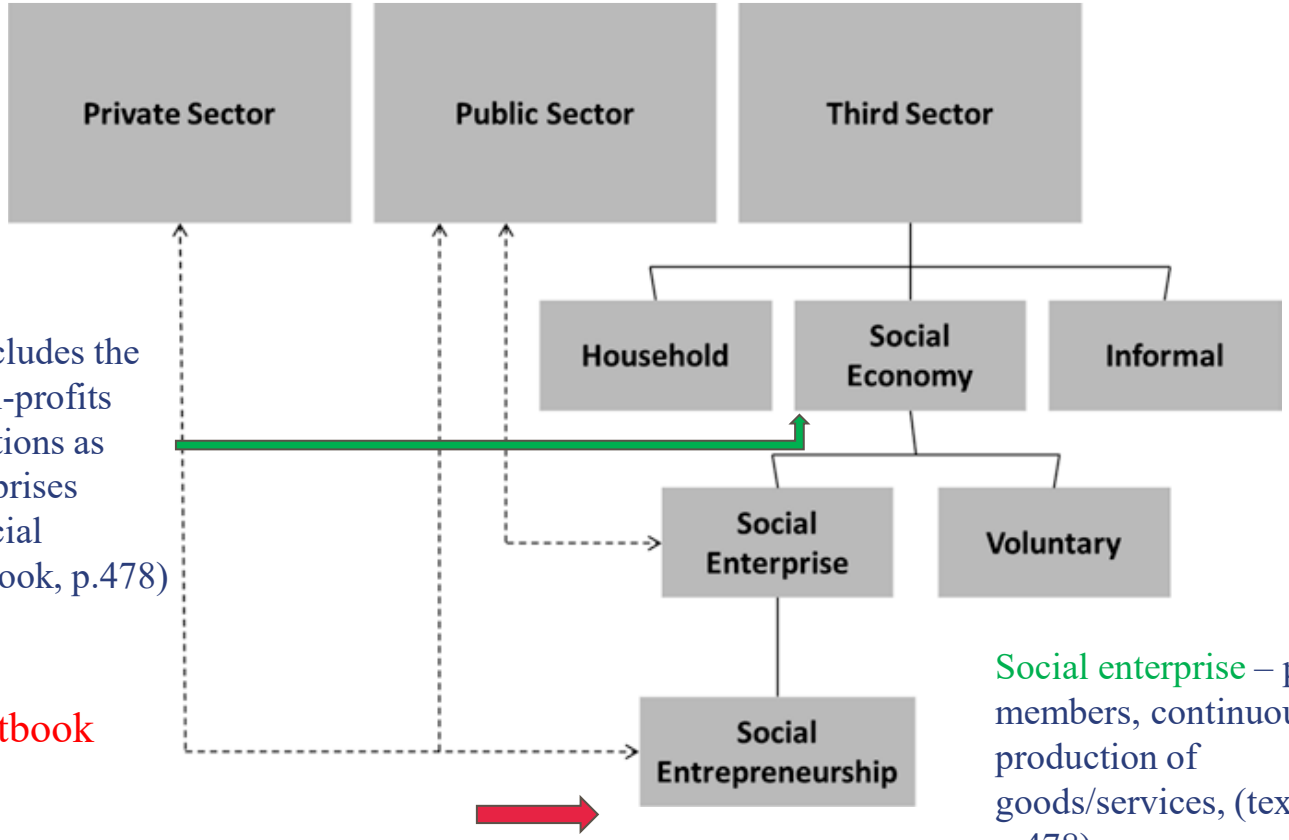
‘Our society requires a paradigm shift, a new contract between all societal actors in order to address global challenges with a stronger focus on scientific and social values, and not only economic ones. New politics are needed that prioritize science-society-policy interactions fostering knowledge-based, intelligent and responsible selection of choices.’

Generally, increased number of public policy programs enhancing social entrepreneurship

What it is: Social Entrepreneurship – Definitions vary, includes e.g.

- **'Applying entrepreneurship to achieve social goals rather than (but not excluding) financial reward' (Tidd and Bessant, 2007)**
- **'Individuals whose social capital enables them to promote social value through innovation' (Leadbeater, 1997)**
- **'we define social entrepreneurship as innovative, social value creating activity that can occur within or across the non-profit, business, or government sectors (Austin et al., 2006) (Moodle)**
- **'Activities connected to the creation of social value and organisations to pursue those social values' (Haugh, 2005)**

Social Entrepreneurship – where does it take place?



The social economy includes the formally structured non-profits and voluntary organisations as well as the social enterprises which encompasses social entrepreneurship (textbook, p.478)

Fig. 14.3, textbook

Social enterprise – paid members, continuous production of goods/services, (textbook, p.478)

Social Entrepreneurship motives – profit/non-profit

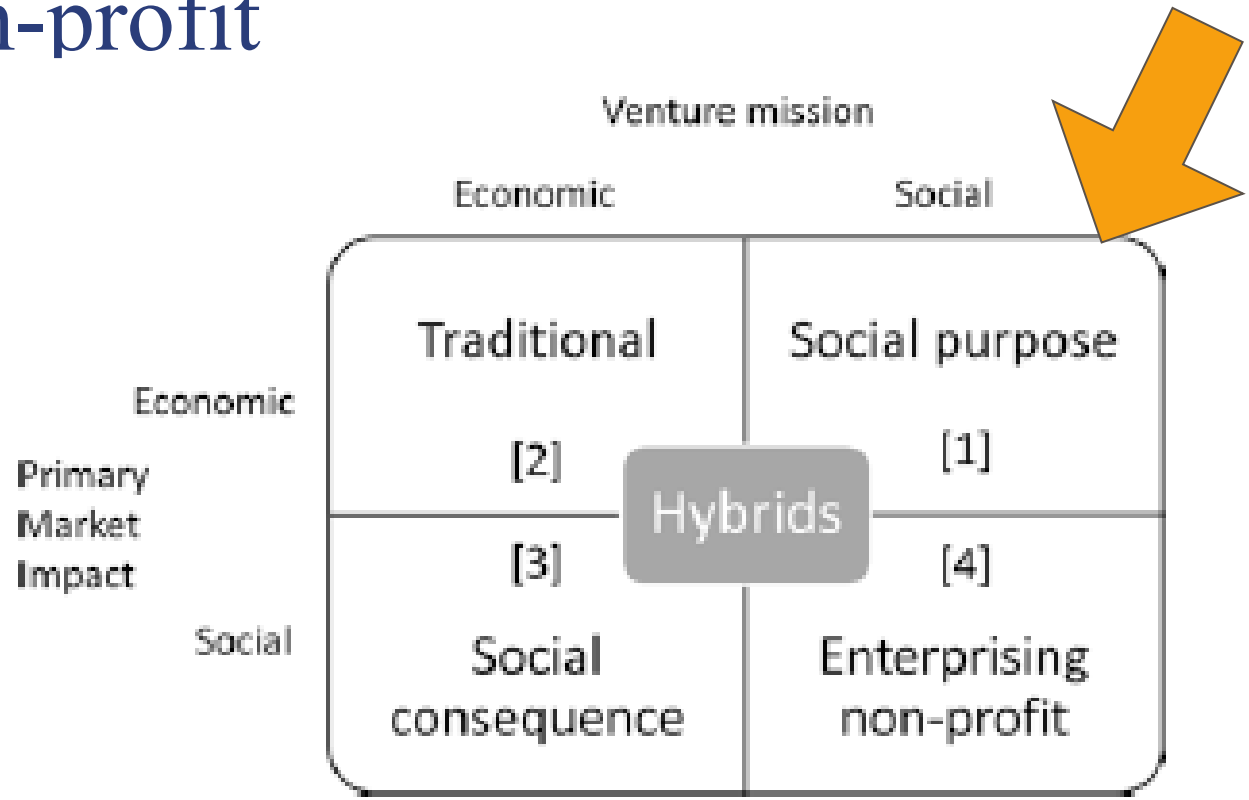


Fig. 14.1 Entrepreneurial venture typology. (Source: Neck et al. 2009)

In sum, consensus around that S.E. is about societal objectives, but different emphasis on social objectives vs. financial objectives.

Social objectives	Priority of objectives	Commercial transactions and profit
	Social	Only if supporting social objectives
	Primarily social	Used to make the business/project commercially sustainable and suppport social objectives
Business/financial objectives	Financial, but social objectives may be achieved. (sectors)	Used to make the business commercially viable

The extent of Social entrepreneurship

- **Lack of data/studies. Need for more/clearer data and boundaries of SE**

- **Danish study (Boje et al.):**
  - **65.500 associations (other estimate close to 100t)**
  - **6.800 independent institutions**
  - **6.600 social funds**
  - **9.6% of GDP**
  - **Value – 134.5 billion DKR**

- **VIVE (2024) 40% of adult Danes do voluntary work.**

The extent of Social entrepreneurship - DK

- Case: Danish Government strategy (DKK 100m) for civil society to involve the civil society and voluntary organizations more systematically
- Four objectives:
  - 1. Strengthened innovation and development in social action,
  - 2. Promoting active citizenship and volunteering culture,
  - 3. Strengthened voluntary organizations,
  - 4. Strengthened cooperation between sectors.

- Debate: (March 6th 2023): Welfare sector – care for elderly: call from municipalities and government to activate civil society for specific care activities.

The challenges of Social entrepreneurship management

- Volunteers = ’staff’. Management challenges. =?

- Difficult for social entrepreneurship organisations to attract human and financial resources
  - Rarely able to offer market rate salaries
  - Stock options etc. not offered

The impact of Social capital

- **Creation and embedding *social capital* (= 'the reciprocal relationships in a social network that produce trust, shared norms and access to information')**

- **Dees (2001):** ***'social entrepreneurship concerns the ability of people to perceive opportunities (e.g. visions of an unmet social need), their capacity to seize those opportunities (e.g. their knowledge and skills), the resources they have available (e.g. financial and social capital) ..'***

- **Social entrepreneurship depends on social capital**

--- lead to creation of new social capital

The performance of Social entrepreneurship

- **Impact measured by different yardsticks than commercial e.**
- **Reward for investors related to the societal needs fulfilled, not just ROI. Psychic income from donating or volunteering not directly connected to social impact**
- **Complicated to evaluate performance due to**
  - **Social phenomenon, intermediating factors, time horizon in manifistation**
- **The market does not do a good job neither in rewarding good, nor in de-selecting in-effective social entrepreneurship organisations**

The funding of Social entrepreneurship

- **Fragmented start-up market and capital markets**
  - **Individual contributions, foundation grants, membership fees, government funding,,**
- **Funders have different motivations and expectations**
- **Funding sources not as diverse as for the commercial market**
- **Funding provided for a shorter period, often annually. Management attention directed a lot to providing funding: Political and relationship management skills important as many resources are outside direct control**
- **Donation-based crowdfunding (Coop ….)**

In sum - Social entrepreneurship

- **Definitions and scale – important**
- **Impact measured by different yardsticks than commercial e., thus complicated to evaluate performance**
- **Dependent upon and creates social capital**
- **A number of management challenges (that are learning points for managers in commercial enterprises)**
  - **Funding**
  - **Motivation**
  - **Networking**
  - **…**

Etnic minority entrepreneurship - a growing research field and policy area.

- Four issues in debates on E.M. entrepreneurship
  - Accessing resources
  - Accessing markets
  - Motivation
  - Policy

For example: Accessing resources

- **Better access due to more extended informal networks?**
- **Constrained access due to discrimination?**
- **Lack of business planning found to contribute to explaining constraints**
- **Demand side: preference for informal sources of finance, no use of the support system,,**

Policy issues re etnic minority entr.

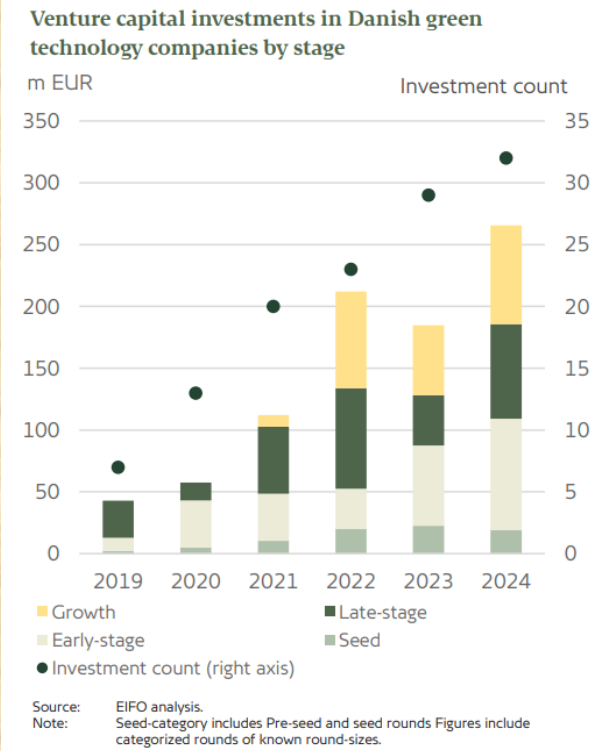
- **Specific support needs as groups differ in their needs**
- **Ways of conveying the info/support should be adjusted according to the receiver = engagement and interaction with etnic-minority communities and -media**
- **Awareness raising of ordinary support schemes**

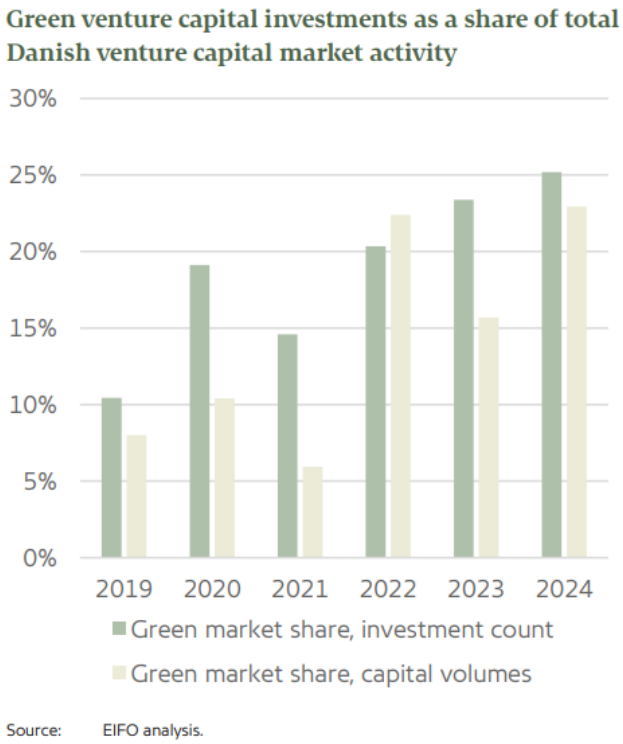
Recent (?) type of entrepreneurship – ‘green’ entrepreneurship

- **Increasing attention on green e.**
- **Business opportunities and soft money**
- **Even talk about price bubble on green assets**
- **Motivations perhaps also non-monetary values?**
- **Additional financial constraints due to additional risks, long pay-back periods, weak signalling**

- **Small business Economics, 2019 (52) special issue on green entrepreneurship., Born to be green..’**

Growing interest from investors on green firms





- **E.g. The Danish Growth Fund/EIFO:**

We are seeing a gradual increase in the number of investments in companies with green business models or products. In 2021, 19 investments were made in green companies for a total amount of DKK 832 million. kr. In 2022 1600 mill.kr, in 2023 1400 mill.kr.

- **Now ¼ of VC investments go into the green segment.**

Too Good To Go (Jan. 2021, 190 mio. kr.)

BioPhero (Mar. 2021, 105 mio. kr.)

Blue World Technologies (Dec. 2021, 112 mio. kr.)

Spirii (Maj. 2021, 70 mio. kr.)

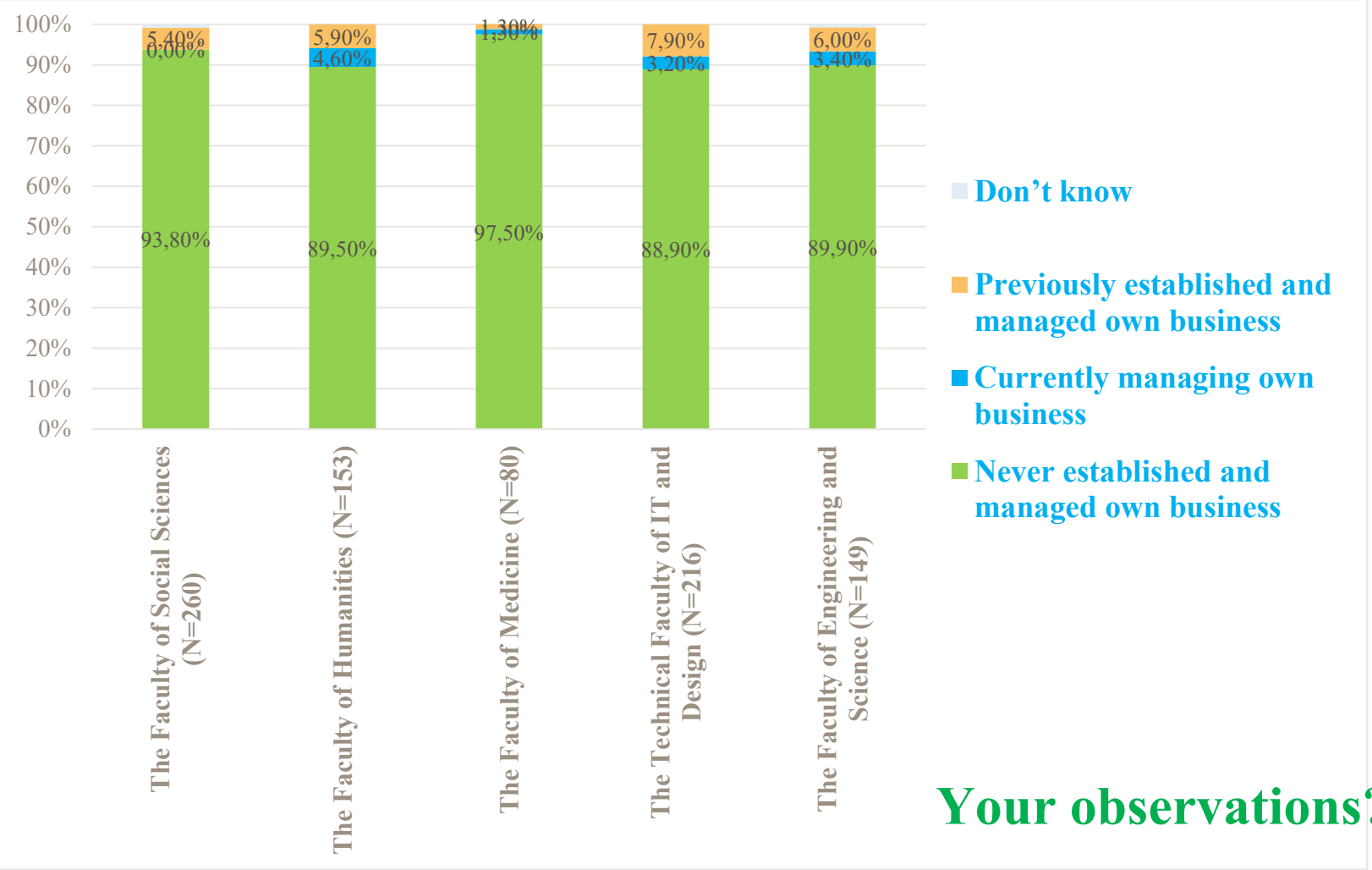
Yet another type of entrepreneurship – Entrepreneurship at AAU

- Still more fields of study teach entrepreneurship, e.g. Master at AAUBS (‘EBE’)(DSEB winner 2025)
- SE organization
- Innovation Hub.
- AAU is ECIU member.
- Student entrepreneurship incubators. Part of university strategy to enhance this. And government agreement of 28 Jan.2026.
- The level of student entrepreneurship activities **??**

AAU and entrepreneurship

- **Survey on student background and considerations regarding entrepreneurship and career choice**
- Ina Drejer, Pernille Gjerløv-Juel, Kristian Nielsen AAUBS, Aalborg University

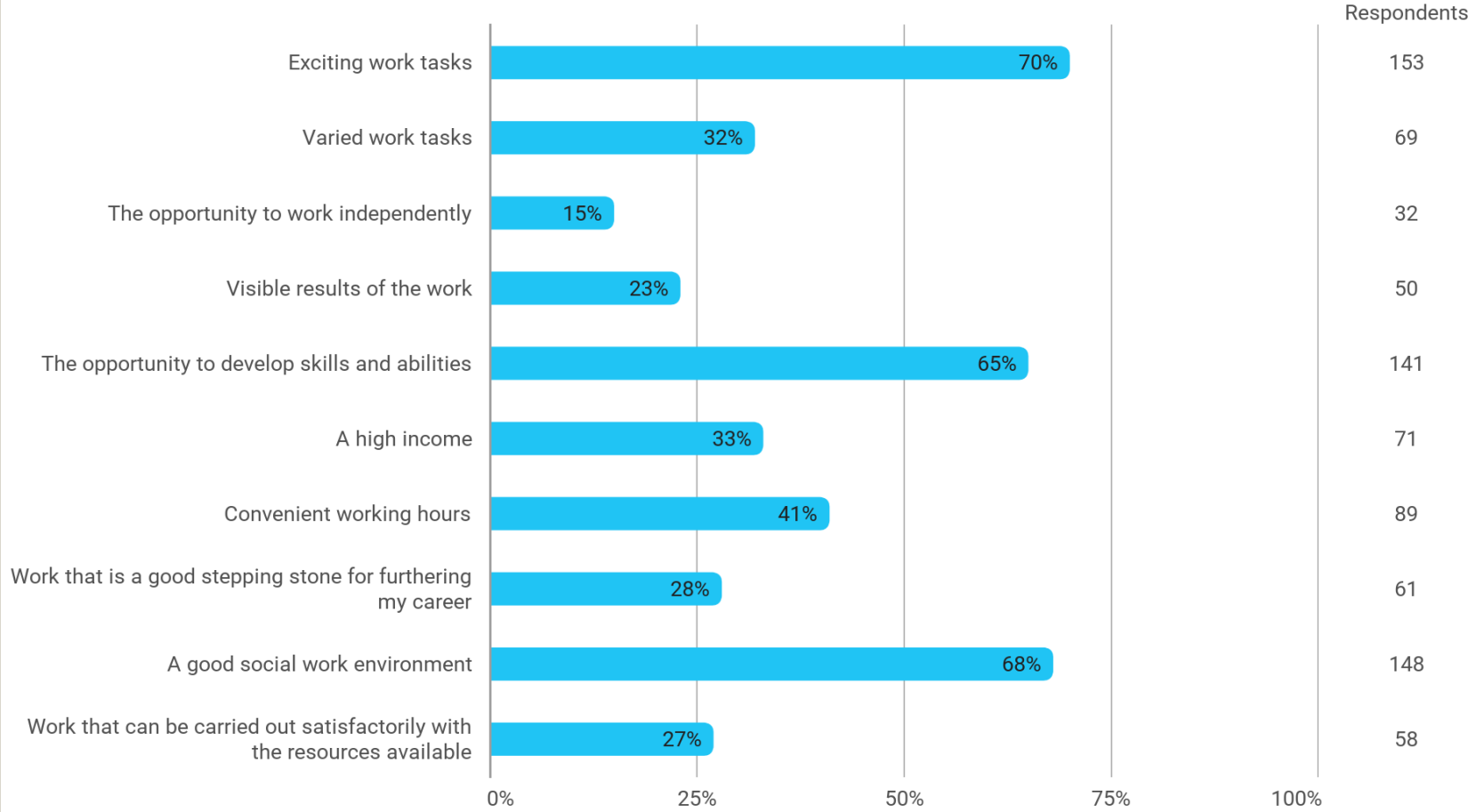
  - Survey among 4316 first-year students in october 2018, and later rounds



Your observations?

Entrepreneurship experience (established and managed your own business - either alone or together with others) by faculty. N=858, weighted data. Differences are significant at 10% level.

When choosing a career after graduation, which of the following factors are most important to you?



2023-survey. Your observations?

Motivation generally for entrepreneurs?

- **Desire to be independent? Money? Lack of other opportunities? Discrimination in previous employment?**

Reasons for starting business
Responses to question "Why do you want to start this business?" *source* Hurst and Pugsley, Table 9

Reason	First reason (%)
Non-pecuniary motivation (I want to be my own boss; tired of working for others; flexibility; set my own hours; enjoy work…)	35.3
To generate income	19.5
Had A Good Business Idea/Create New Product	32.2
Lack of Other Employment Options	2.2
Other	10.8

Not vastly different from student entr motivation survey

‘Everyday’ entrepreneur vs.‘gazelles’,‘unicorns’etc.

- *As discussed earlier: are these guys representative for ‘entrepreneurs’:*

- Not really. Majority of entrepreneurs are starting up in ‘traditional’ industries.
- **Impact? Attracted by what’s interesting or relevant?**
  - General perceptions (success bias)
  - Funds (VC)
  - Policies, research, media,,

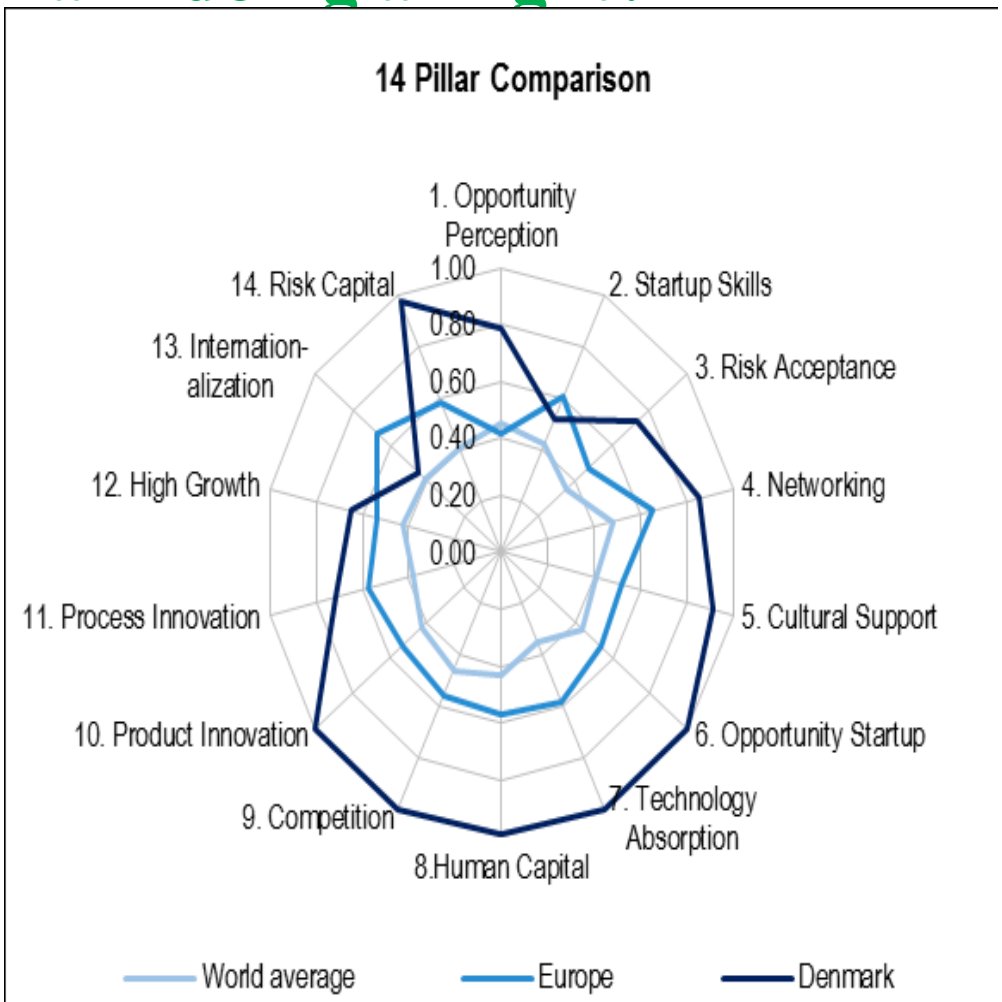
Diversity in entrepreneurship, and the questions around outcome begs the question: Helping entrepreneurs?

Government supporting entrepreneurs – rationales?

- **Why should government intervene?**
- **Backfire ? distort market mechanisms, create more cobras?**
- **How to go about it?**

Rationale for policies stimulating entrepreneurship: Isn't Denmark doing allright?

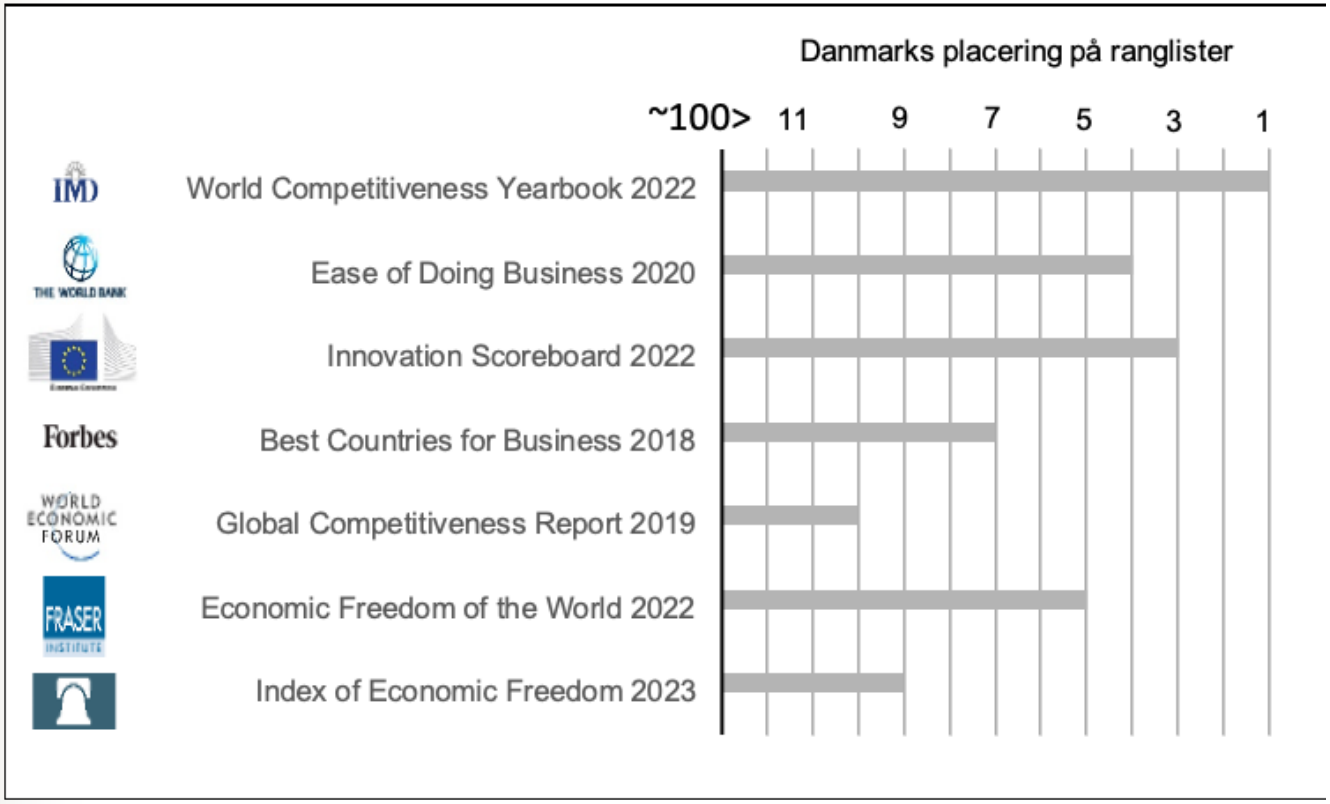
- According to GEDI, Denmark has a strong entrepreneurship performance evidenced by the fact that the parameters of the overall GEDI rankings are consistently at or close to the top in the world. Denmark ranked 6th in the world out of 137 countries analysed
- Moreover, Denmark has a favourable environment for doing business. In its "Doing Business" analysis, the World Bank ranks Denmark as the third best country in the world in the four consecutive years (2014 -2017) (The World Bank, 2018) and was in the latest 2020 survey 4th in the ranking. Denmark is faring well on all indicators used by the World Bank. (Rankings)
- ….so why bother???



Source: The Global Entrepreneurship and Development Institute (GEDI)

Other sources assessing Denmark

….again: why bother???



Source: Erhvervsministeriet. Iværksætteri i Danmark (2023)

Some counter-arguments?

- Scott Shane (2009):
  - Exagerated contribution of small firms/entrepre. to growth and job creation
  - Productivity increases with firm size, thus resources are best used in existing, large firms
  - Most start-ups =self-employment, life-style firms without growth ambitions
  - Most start-ups disappear within a 5-year period and <1% of new firms have >20 employees after 5 years.
  - Providing incentives for starting any business is bad policy: unemployed would see it as attractive relative to unempl. But are not the best entrepreneurs. Programmes for stimulating unemployed to start-up sucks.
  - Jobs in new firms worse compared to jobs in existing firms

- **Entrepreneurial start-ups are ‘muppets’**

- **marginal**
- **undersized**
- **poor**
- **performance**
- **enterprises**

- ‘Muppets and gazelles: political and methodological biases in entrepreneurship Research’, Nightingale and Coad, ICC, 2014.
- See also Acs et al. 2017. Public policy to promote entrepreneurship: a call to arms. SBE.

Creating new, growing firms:

- Selecting the businesses to support is very difficult (Shane, 2009)
- Even the VC sector gets most of its investments “wrong” – but makes its money from the extreme successes
- Delivering selective policies is really tricky
- The upside for government?(Mazzucato, 2013)

Policies stimulating entrepreneurship:

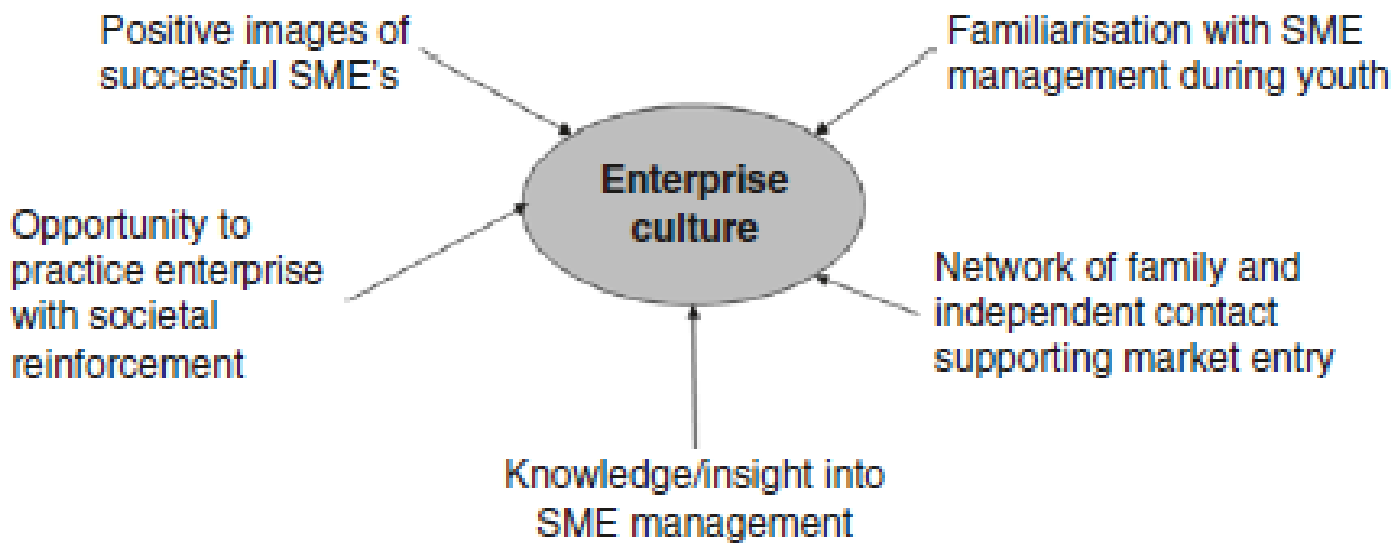
- **But there must be something good about it, right?**
- **Arguments for enhancing entrepreneurship?**

Policies stimulating entrepreneurship:

- **What should then be done?**
- **Should policies be more focused!! ??**
- **E.g. towards gazelles**
- **But prediction difficult (?)**

Policies instruments stimulating entrepreneurship:

- **What can be done?**
- **Textbook, fig. 1.11: Creating an enterprise culture:**



Policies instruments stimulating entrepreneurship:

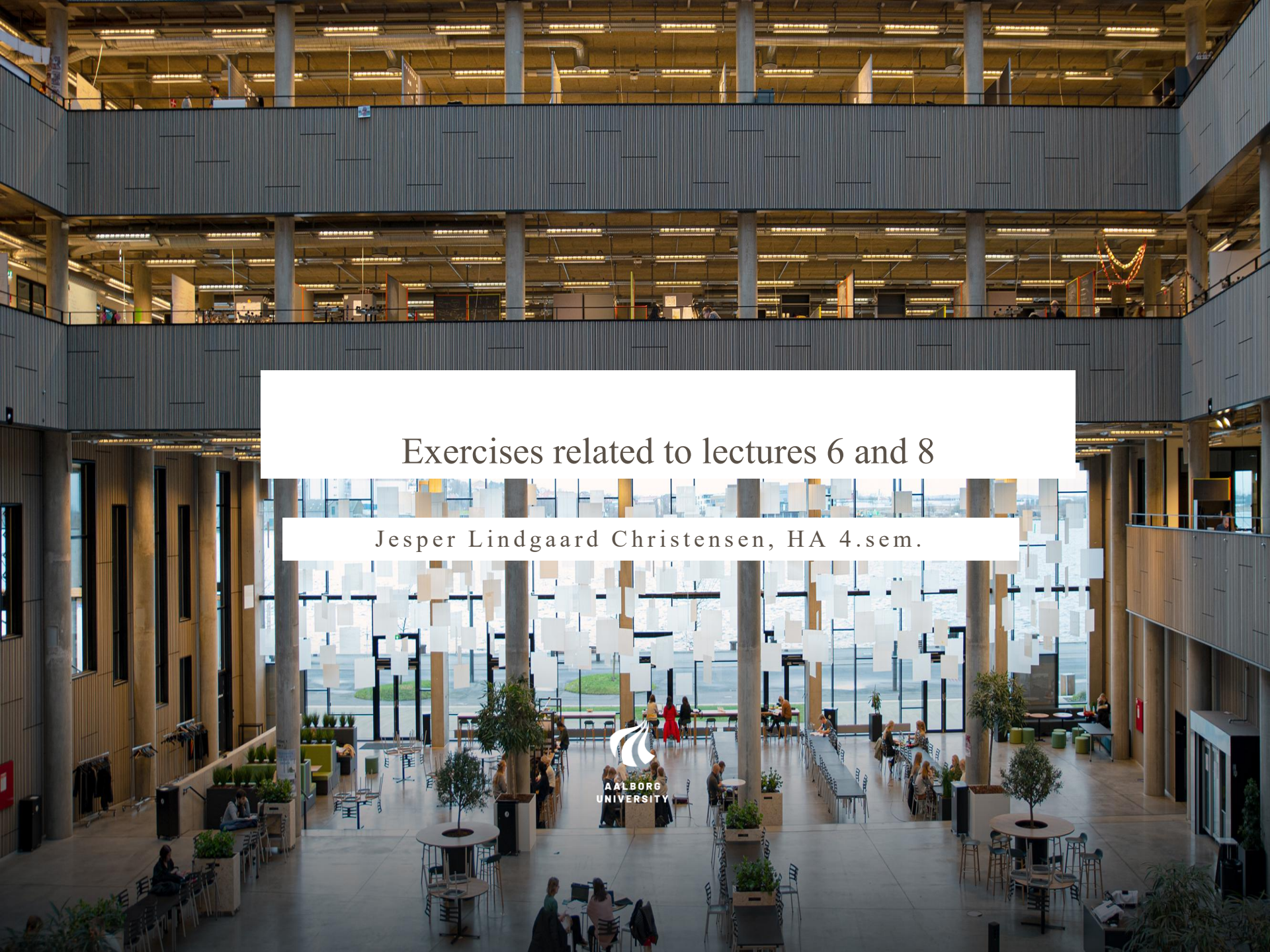
- **What can be done, related = Entrepreneurship Learning (OECD)(textbook):**

- **Build up entrepreneurship education in universities and higher education institutions.**
- **Strengthen vocational education and training programs for small business owner-managers and their employees.**
- **Embed teaching of an entrepreneurship mindset in school curricula and provide teacher training and support materials.**
- **Reinforce training in SMEs via in-company projects.**
- **Increase the use of informal learning sources.**
- **Strengthen local skills ecosystems through the engagement of employers, unions and individuals.**

- **Denmark: Fonden for Entrepreneurship - https://ffefonden.dk/**

Exercises related to lectures 6 and 8

Jesper Lindgaard Christensen, HA 4.sem.



The purpose of the exercises is to re-cap and train some of the key features we discussed in lectures 6+8.

Make short, written notes. Remember it is a 2-hours exercise, do not make extensive reports.

Three exercises but simple/not exessively time-consuming.

Individually or in groups.

Now or later this week. Jesper available for consultation now.

- This part of the exercise aims at helping you learn and re-cap important parts of the entrepreneurship stuff from papers and text-book, but here aided by a ‘real life’ example.

- Reflect on the presentation by Daniel on his start-up.

Confront his experiences with your selected choice of issues that we’ve discussed in the entrepreneurship part of this course.

You can report on your reflections in whatever format you find expedient. For example, simply filling in a table like below.

ISSUE	FITS/DOES NOT FIT WITH WHAT WE DISCUSSED	NOT COVERED (BUT IMPORTANT) IN WHAT WE DISCUSSED

Fill in the table below.

List the entrepreneurial financing sources you know in the left-hand side of the table, and in the cells the pros/cons for small, entrepreneurial firms of using this source and type of finance (e.g. price, flexibility,,,).

Financing source (type of capital)	**Advantages**	**Disadvantages**

- **Write down your answers to this question:**

- **Think of/search for a case of social entrepreneurship and place it/them on a continuum between pure for-profit and pure social objectives. Why is your classification as 'social' entrepreneurship justified?**

- **Your own thoughts/examples.**
  - **One example: https://raatoggodt.dk/**